

THE SESSION · POST-CLOSE READ

A Dose *Removed*

The Federal Reserve raised its target range a quarter point to 3.75–4.00%, its first increase since July 2023, and penciled in one more this year; stocks gave up early gains during Chair Warsh’s press conference, the Dow falling 1.21% as financials led lower while a memory-chip rally held the Nasdaq flat. The Dividend Strategy fell less than both marks; the Growth Portfolio trailed IUSG.

S&P 500 ▼ 0.43%

NASDAQ ▲ 0.02%

DOW ▼ 1.21%

VIX 17.5

BRENT ▼ \$106

DIVIDEND STRATEGY

▲ BEAT DVY + SPY

–0.40%

1-DAY

FCI		–0.40%
DVY		–1.32%
SPY		–0.44%

YTD +18.48% vs DVY +15.03% · SPY +11.16%

GROWTH PORTFOLIO

▼ TRAILED IUSG

–0.38%

1-DAY

FCI		–0.38%
IUSG		–0.11%

YTD +19.28% vs IUSG +11.93%

THE SESSION

The Fed delivered the hike the market had priced, and the market sold the press conference. The FOMC voted 12–0 to lift the funds target a quarter point to 3.75–4.00%, the first increase since July 2023, and the accompanying projections showed sixteen of eighteen participants expecting at least one more this year, four of them two. Chair Warsh, who again submitted no dot of his own, said the committee had “removed a dose of accommodation,” that he would be hard-pressed to call broad financial conditions restrictive, and that the summer’s inflation readings had not told him underlying trends were improving. Officials nudged their 2026 inflation projections up a tenth, to 3.7% headline and 3.4% core PCE. Stocks were modestly higher into the 2 p.m. statement and slipped through the 2:30 press conference: the S&P 500 closed down 0.43%, the Dow 1.21% with financials leading the losses, and the Nasdaq finished flat at +0.02%. The 10-year yield, which had eased below 5% overnight, climbed back toward that level after the decision, and the VIX rose to 17.5. The morning’s data argued for the move — August retail sales rose 1.2%, well ahead of expectations, with the control group up 1.4% — and the

day’s one relief came from crude: Brent fell about 2.7% to \$106 as government data showed a smaller-than-expected draw in U.S. inventories and the Energy Secretary said Saudi Arabia’s East-West pipeline should resume within days.

For the Dividend Strategy, –0.40% was a beat on both marks. DVY fell 1.32% as the yield proxies absorbed a higher policy rate and a 10-year back near 5%, and SPY lost 0.44%, so the sleeve finished 0.92 points ahead of DVY and 0.05 ahead of SPY. Stryker gained 1.17% and Church & Dwight 1.06% as investors reached for defensives; Lockheed added 0.68%, TE Connectivity 0.43%, and General Dynamics 0.40%. PACCAR was the sleeve’s weakest name at –3.46%, opening at its high and closing near its low with no company news as transports and industrials led the Dow lower. Qualcomm gave back 1.58% of Tuesday’s 4.25% gain, S&P Global slipped 1.39%, Nutrien 1.33%, and ADP 1.21%. The rate-sensitive corner was steadier than on Tuesday — Atmos –0.07%, Constellation –0.14%, NextEra –0.85% — which is worth noting on the day the hike actually arrived: the repricing had largely been done in advance.

*Policy sets the price of money; ownership is a claim on what businesses do with it.
Today changed the first. It did not change the second.*

The Growth Portfolio finished down 0.38% against IUSG's -0.11%, a 0.27-point shortfall, and the gap is two stories pulling in opposite directions. The AI-connectivity names rallied after Reuters reported SK Hynix is in talks with Intel to manufacture memory chips in the United States for the first time, possibly at Intel's Ohio site: Credo rose 7.38% on the report and its launch of 1.6-terabit ZeroFlap optical transceivers, Marvell 3.61%, Keysight 2.80%, AMD 1.65%, TSM 1.03%, and Nvidia 0.82%, with Hut 8 up 3.13% alongside the compute group. Pagaya added 2.85% on a new forward-flow agreement with Neuberger Specialty Finance covering up to \$700 million of auto loans. Against that, Robinhood fell 5.46% after federal prosecutors in Manhattan charged two former Robinhood Crypto engineers with fraud for allegedly trading perpetual futures ahead of token listings — the com-

pany says it reported the conduct and is cooperating — and the consumer-credit names moved with financials, Synchrony -1.55% and SoFi -1.35%. Energy gave back Tuesday's gain as crude eased: Chevron -2.86%, ONEOK -2.13%, and CNX -4.78% on no news. NXP lost 3.20% on its ex-dividend date as the auto-exposed chips sat out the memory rally, and ServiceNow slipped 1.46%. The digital-asset ETFs were quiet, IBIT -0.16% and ETHA -0.27%. Goldman Sachs Asset Management's base case is one more hike in December, with October likely skipped for its proximity to the midterms; futures were split on October by the close. On the year, the Dividend Strategy stands at +18.48% against DVY's +15.03%, a +3.45-point spread, and the Growth Portfolio at +19.28% against IUSG's +11.93%, a +7.35-point spread.

FCI HOLDINGS · NOTABLE MOVERS

WINNERS

CRDO +7.38%

GROWTH

Launched a family of 1.6-terabit ZeroFlap optical transceivers for AI networks this week, and the AI-connectivity group rallied after Reuters reported SK Hynix is in talks with Intel to make memory chips in the U.S. for the first time.

MRVL +3.61%

GROWTH

Rose with AI networking and custom-silicon names on the Intel-SK Hynix report; no company-specific announcement.

DECLINERS

HOOD -5.46%

GROWTH

Federal prosecutors in Manhattan charged two former Robinhood Crypto engineers with commodities and wire fraud for allegedly trading perpetual futures ahead of token listings; financials led the Dow lower after the Fed.

CNX -4.78%

GROWTH

No company-specific announcement; the Appalachian gas producer was the weakest name in an energy group that gave back Tuesday's gains as crude retreated.

HUT +3.13%

GROWTH

Moved with the AI-compute group rather than with bitcoin, which was little changed (IBIT -0.16%); no company-specific news.

PGY +2.85%

GROWTH

Signed its first forward-flow agreement with Neuberger Specialty Finance, covering the purchase of up to \$700 million of auto loans sourced through Pagaya's lending network.

KEYS +2.80%

GROWTH

Recovered with the AI-infrastructure and test-and-measurement group; no company-specific announcement.

PCAR -3.46%

DIVIDEND

Opened at the session high and closed near the low with no company news as transports and industrials led the Dow lower after the hike; diesel prices reached what CNBC reported as fresh records.

NXPI -3.20%

GROWTH

Traded ex-dividend (\$1.014 quarterly) and the auto-exposed chip names sat out the memory-chip rally; no company-specific news.

CVX -2.86%

GROWTH

Gave back part of Tuesday's advance to a 52-week high as Brent eased about 2.7% toward \$106 on a smaller-than-expected U.S. crude draw and word that Saudi Arabia's East-West pipeline should restart within days.

HOLDINGS NEWS

Robinhood: former engineers charged over listing trades. The U.S. Attorney for the Southern District of New York on Tuesday unsealed complaints charging Hefu Chai, 36, and Huaisong Xiang, 30, both former Robinhood Crypto engineers, with one count each of commodities fraud and wire fraud. Prosecutors allege the two used confidential information about which tokens Robinhood planned to list to buy perpetual futures on the decentralized exchange Hyperliquid ahead of the public announcements, between 2025 and 2026, clearing more than \$50,000 each. The charges name the individuals, not the company; Robinhood said it investigated the activity, reported it to law enforcement and regulators, and is cooperating. The shares closed at

\$104.42, down 5.46%, on a day financials led the market lower after the Fed, and the news arrives on the heels of the Senate's failed CLARITY Act vote, which left market-structure legislation stalled for the year.

Pagaya adds committed auto capital from Neuberger. Pagaya announced its first forward-flow agreement with Neuberger Specialty Finance, the asset-based finance arm of Neuberger Berman, for the purchase of up to \$700 million of auto loans sourced through Pagaya's network of auto lending partners. Management framed the deal as an extension of its long-term, committed-capital strategy — pre-arranged buyers for loans its platform originates, alongside the securitization channel — which matters for a business whose growth is bounded by how much funding it can line up in advance. The shares rose 2.85% to \$21.64 against a weak fintech tape.

YEAR-TO-DATE STANDING

DIVIDEND STRATEGY

+18.48%

vs DVY +15.03% / SPY +11.16%

Spread vs DVY +3.45 pts

GROWTH PORTFOLIO

+19.28%

vs IUSG +11.93%

Spread vs IUSG +7.35 pts